

Subject Code	AF5344
Subject Title	Investments
Credit Value	3
Level	5
Normal Duration	One Semester
Pre-requisite / Co-requisite/ Exclusion	None
Objectives	This course provides a comprehensive coverage of the basic concepts, theories, applications and decision-making rules for investments. We first examine how individuals make choices among investment alternatives that have uncertain payoffs in the future. An understanding of risk and return for individual securities and portfolios is necessary for making these decisions. We then evaluate financial decision-making for the market as a whole to describe the valuation process for different securities. This subject contributes towards the achievement of the Master of Finance program objectives, in particular (i) apply conceptual frameworks drawn from economics and quantitative method to the analysis of investment issues, and (ii) formulate financial strategies and envision their outcomes (Outcome 3).
Intended Learning Outcomes	Upon completion of the subject, students will be able to: - Understand modern portfolio theory and its use in the investment management process; - Apply various valuation methods on different financial securities including equity, bonds, and derivatives; - Understand the process of portfolio management and portfolio performance evaluation. (Outcome 3) - Understand the challenges and opportunities in applying FinTech and data analytical skills in investment management. (Outcome 3)

Subject Synopsis/ Indicative Syllabus	The Investment Environment Typical investment instruments; investment process; risk free assets; market indexes and benchmarks; short sales; primary and secondary markets for equities and bonds; investment companies; FinTech. Portfolio Theory Measure of return and risk; risk return trade-off; diversification and portfolio risk; optimal risky portfolios; risk-free lending and borrowing; asset allocation. Asset Pricing Models Capital Asset Pricing Model (CAPM); multi-factor models; Efficient Market Hypothesis Theory and empirical evidence in favour of and against market efficiency; limits to arbitrage; behavioural finance; implication of the debate for investors. Efficient market hypothesis and the financial market turmoil.
	Fundamentals of Equity Valuation Valuation concepts and methods; valuation models such as DCF model; P/E based models. Implications of financial bubbles for equity valuation. Fundamentals of Bond Analysis Basic features of debt securities; basic valuation models; yield computation; term structure of interest rates; interest rate risk; duration; management of fixed income portfolios, immunization strategies. Performance Evaluation Time-weighted versus dollar-weighted returns; risk adjustment in performance evaluation; performance attribution analysis.
Teaching/Learning Methodology	The theoretical aspects of this course will be covered in the class through lectures. This allows direct contact and discussion between lecturer and students. Students learn about FinTech and data science through reading assignments, guest lectures, and hands-on practices. Assignments, newspaper articles, and case studies will be used to illustrate the application of the ideas, and to encourage independent learning skills.

Assessment Methods in Alignment with Intended Learning Outcomes	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:							
	Class participation – Students should read assigned readings before the class to prepare for better learning and possible Q&A sessions in class.							
	Homework assignments test students on their understanding of investments theories and valuation methods.							
	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d		
	1. Class Discussion and Participation	10%	✓	✓	✓	✓		
	2. Mid-Term Test	20%	✓	✓		✓		
	3. Project	20%	✓		✓	✓		
4. Final Examination	50%	✓	✓	✓	✓			
Total	100 %							
Student Study Effort Expected	Class contact:							
	▪ Lectures / Seminars							39 Hrs.
	Other student study effort:							
	▪ Reading							39 Hrs.
	▪ Homework and Project							39 Hrs.

	Total student study effort	117 Hrs.
Reading List and References	Bodie, Zvi, Alex Kane and Alan J. Marcus, Investments, 13th edition, 2024, McGraw-Hill/Irwin, International edition. (Required Textbook) Bodie, Zvi, Alex Kane and Alan J. Marcus, Investments, 11th edition, 2018, McGraw-Hill/Irwin. Malkiel, Burton G., A Random Walk Down Wall Street: The Time-Tested Strategy for Successful Investing, 12th Edition, 2020, W.W. Norton & Company. Reilly, Frank K., Keith C. Brown, and Sanford J. Leeds, Investment Analysis and Portfolio Management, 11th edition, 2019, Cengage Learning. Topical readings from the financial press about local and international markets.	